

Currency Horizons

Global Markets Research
29 June 2026

Foreign Exchange - Global

Our medium-term FX views

Moving on from the Middle East?

We introduce a new periodical that is focused on the medium-term FX outlook. Our aim is to offer a brief, multi-month view, in addition to our more timely, actionable, *trade-idea focused reports*.

For G10 FX, we expect the focus to shift back towards central banks' actions relative to rate hike pricing. We do not expect the Fed to hike rates, which should work against USD in H2. We see the greatest value in currencies where we think the respective central banks can start or continue their hiking cycles and where there is room for portfolio flow momentum to improve (EUR, JPY, NZD and AUD on the latter point). We see others as more vulnerable on central bank disappointment (GBP, CAD and SEK).

For Asia, ex-Japan, we favour outperformance in CNH, TWD and SGD, versus underperformance in KRW, IDR and INR through 2026. Strong capital flows are likely to support CNH and TWD, with the latter a clear beneficiary of global AI trade. Singapore's strong domestic momentum amid inflation risks suggest a supportive policy stance for SGD. The latter three may face more challenging BoP dynamics amid local-specific concerns.

Please click on the link below for our views on individual currencies.

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Fig. 1: Global FX forecasts

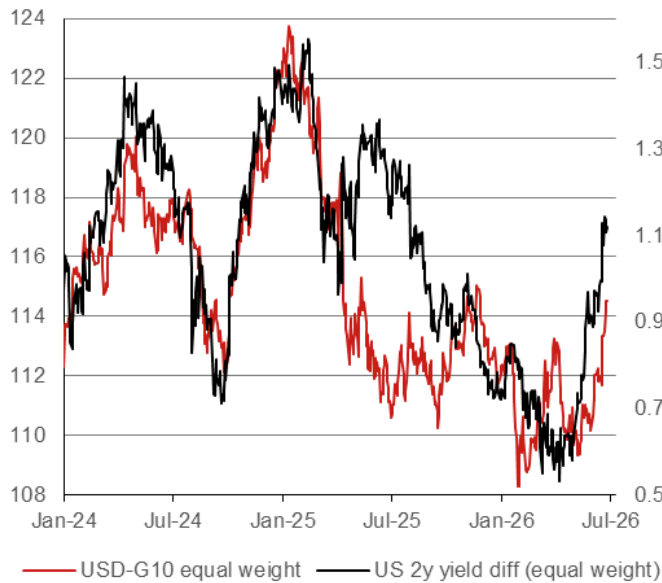
		29-Jun	Q3 26	Q4 26	Q4 27
G10					
US Dollar Index	(DXY)	101.20	100.20	98.00	92.70
Japanese yen	(USD/JPY)	161.8	158.0	154.0	145.0
Euro	(EUR/JPY)	184.6	182	182	181
	(EUR)	1.14	1.15	1.18	1.25
Swiss Franc	(CHF)	0.81	0.79	0.76	0.72
	(EUR/CHF)	0.92	0.91	0.90	0.90
British Pound	(GBP)	1.32	1.33	1.35	1.36
	(EUR/GBP)	0.86	0.86	0.87	0.92
Australian Dollar	(AUD)	0.69	0.71	0.73	0.75
Canadian Dollar	(CAD)	1.42	1.41	1.40	1.35
New Zealand Dollar	(NZD)	0.57	0.58	0.60	0.63
Norwegian Krone	(EUR/NOK)	11.31	11.40	11.50	11.50
Swedish Krona	(EUR/SEK)	11.08	11.10	11.20	11.20
Asia					
Chinese Renminbi	(CNH)	6.79	6.65	6.50	6.30
Hong Kong Dollar	(HKD)	7.843	7.820	7.800	7.790
Indonesian Rupiah	(IDR)	17854.0	17850	17800	17500
Indian Rupee	(INR)	94.3	94.0	93.0	92.0
Korean Won	(KRW)	1541.2	1550	1495	1440
Malaysian Ringgit	(MYR)	4.06	4.14	4.13	4.10
Philippine Peso	(PHP)	61.2	60.8	60.3	59.5
Singapore Dollar	(SGD)	1.293	1.280	1.255	1.225
Thai Baht	(THB)	33.3	32.9	32.3	31.3
Taiwan Dollar	(TWD)	31.9	31.3	30.8	30.0

Source: Bloomberg, Nomura.

Production Complete: 2026-06-29 12:38 UTC

North America (USD, CAD)

Fig. 2: USD: A hawkish Fed and resumption in portfolio inflows likely to wane in H2



We see the DXY falling to around 98 by year-end (a decline of around 3.5% from current levels).

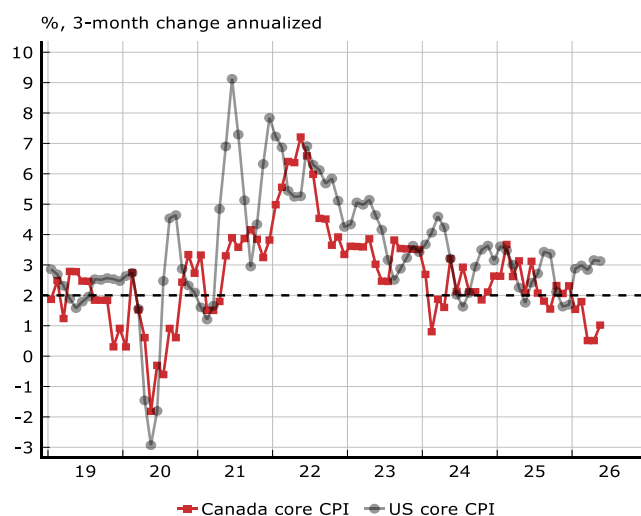
USD has rallied in recent weeks, even though Middle East uncertainty has become less of a concern, thanks to a recalibration higher in the expected Fed rate path. A *resumption of inflows into US equities* has also been supportive in recent months.

We think this may struggle to be maintained later in the year.

Our base case is that the Fed does not hike in 2026 (vs c40bp priced in), with a sequential softening in growth and inflation momentum in H2 giving Fed Chair Warsh an opportunity to pushback against the hawks. A 40bp decline in relative US yields would likely see USD fall versus its peers (*Fig. 2*). We also see some *downside risk to US data in the summer* from residual seasonality issues, and believe the *de-dollarisation theme has scope to resume* as the year progresses.

Source: Bloomberg, Nomu18

Fig. 3: CAD: Low inflation and a soft labour market suggest BoC hikes are unlikely to materialise



We see short-term upside for USD/CAD, but look for a drift lower to 1.40 by end-2026.

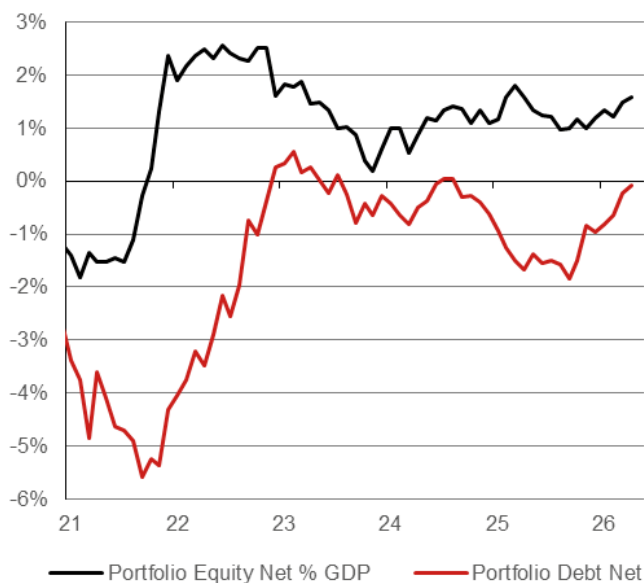
Macroeconomic divergence between the US and Canada has been increasing, putting *upward pressure on USD/CAD*. We think this is likely to persist in early Q3. In particular, because inflation is much softer in Canada, this will likely keep the hurdle high for the Bank of Canada to re-raise its policy rate. Elsewhere, *risks surrounding the USMCA renegotiations* will likely add headwinds, with bilateral US-Canada discussions yet to commence and the 1 July deadline for a 16-year extension looking increasingly difficult to be met.

However, we note that the market's short CAD positioning has been expanding among a wide variety of investor types (e.g., asset managers, CTAs and corporates), posing a risk to our long USD/CAD view. Any positive CAD catalyst could trigger short-covering, though as wage growth is cooling and labour market slack is still evident, an imminent position unwind seems unlikely at this point.

Source: Macrobond, Nomura

DM Europe (EUR, GBP, CHF, SEK, NOK)

Fig. 4: EUR: Upside expected owing to rate convergence and supportive portfolio flows



We see EUR/USD rising to 1.18 by end-2026 and into the 1.20s in 2027.

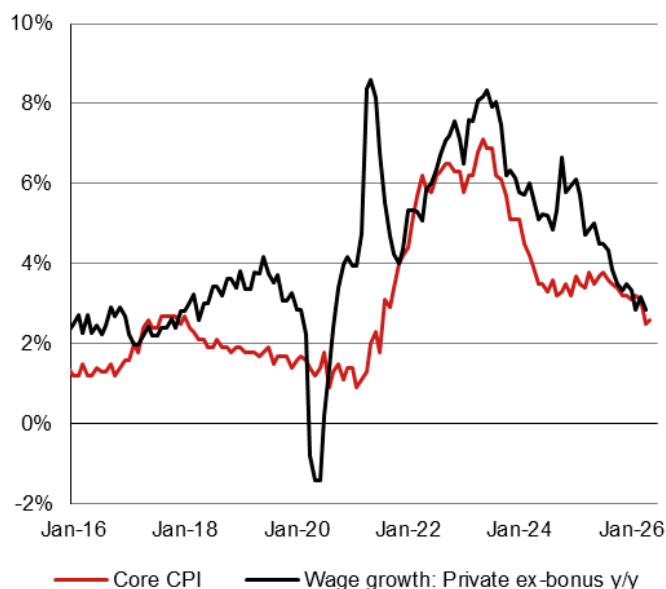
Cyclically, we think that market pricing may have over-reacted on the hawkish side to Fed Chair Warsh's first meeting. His comments contained dovish elements that have been somewhat overlooked (a focus on the 2 on "the left of the decimal" rather than specifically on 2.0% on inflation, for example). The task forces he announced may eventually see a dovish change at the Fed. We see unchanged rates this year versus c40bp of hikes priced.

Meanwhile, the ECB's reaction function remains hawkish, in our view, with a shift higher in its neutral rate expectations. *We see a terminal rate of 2.75%* – around 25bp higher than market pricing.

From a flow perspective, *portfolio inflows into the euro area* have been improving in recent months (*Fig. 4*), while the current account surplus has remained in place. We see scope for EUR to benefit from any resumption in the "de-dollarisation" and diversification theme that has gained popularity at various points in the last few years.

Source: Bloomberg, Nomura

Fig. 5: GBP: Underperformance due to a softer rate profile and fiscal risk premium

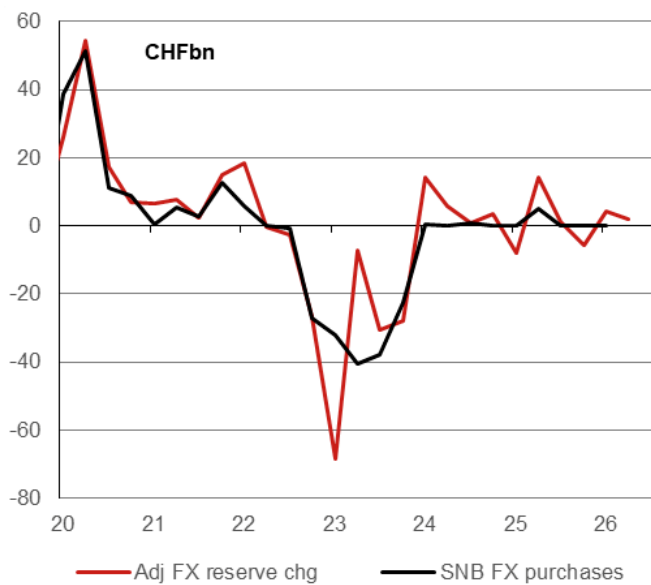


We see GBP/USD at 1.35 by end-2026. We see EUR/GBP rising to 0.90 by end-2027.

Our economists recently removed their forecast for a July BoE rate hike and *see two cuts next year*. This is the most dovish central bank outlook among our G10 forecasts. A softer *labour market* and *limited sequential inflation pressures* (*Fig. 5*), as well as a more dovish reaction function, suggest GBP will receive less support from rates in the months ahead.

Fiscal concerns may also continue to linger and cause a risk of acute GBP weakness. There are obvious questions about how the new Prime Minister will manage spending and taxation following Keir Starmer's unsurprising resignation on 22 June. *Andy Burnham is the most likely replacement*, according to polling and betting odds. Risks include tweaks to fiscal rules, a shift towards re-nationalisation or increases in taxes, which may curb investment and growth, even if the latter helps to maintain fiscal credibility among investors.

Source: Bloomberg, Nomura

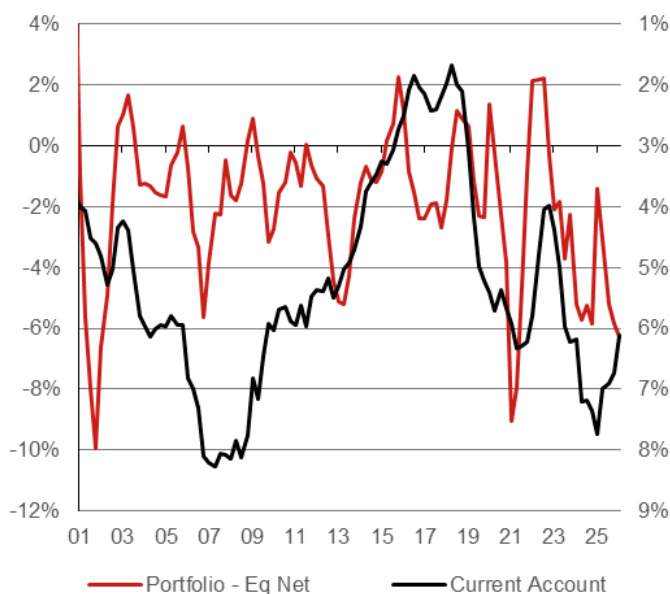
Fig. 6: CHF: Fundamentals are firm but be wary of carry trades becoming more prominent

We expect EUR/CHF to decline towards 0.90 in the latter part of 2026, with USD/CHF falling on broader USD factors to 0.76.

Long-term fundamentals remain highly supportive for CHF, even if some “debasement trade” flows, which helped the currency in Q1, fade. Carry trade momentum has been powerful in Q2, but historically this has not caused sustained CHF underperformance. A wider rate differential working against CHF, as other central banks hike rates is, however, a risk factor.

A large and resilient current account surplus and persistent inflows into financial account deposits provide a firm backdrop for gradual CHF appreciation. Meanwhile, low and stable inflation allows nominal CHF gains, without putting much upward pressure on the real effective exchange rate. The SNB has tended to focus on the REER with regard to its FX intervention activity, and so we do not expect sizable FX purchases to return (*Fig. 6*), barring any rapid “risk off” type of appreciation of the currency.

Source:

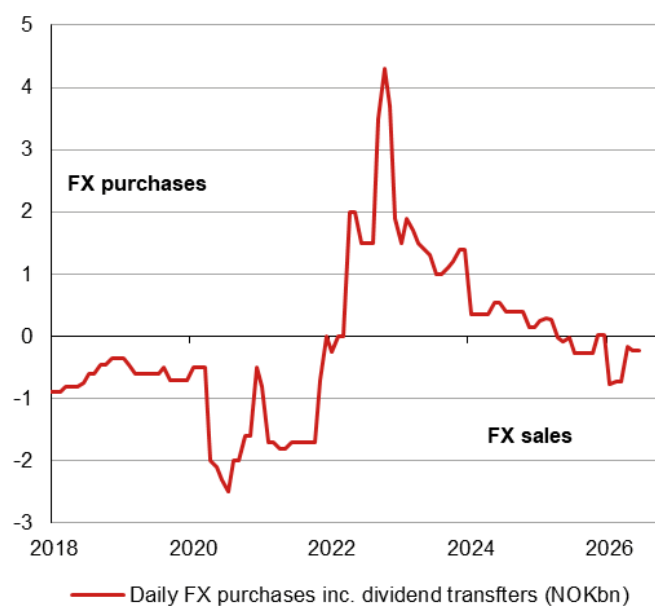
Fig. 7: SEK: A relatively dovish monetary policy and a recycling of the current account surplus hampers SEK potential

We forecast EUR/SEK to trade at 11.2 at end-2026, with NOK/SEK trading around 0.97 over the same period.

SEK may continue to struggle in 2026 as the soft inflation backdrop and sluggish domestic growth momentum make it difficult for the Riksbank to hike rates. Below-target inflation may be partly attributed to tax changes enacted earlier this year to lower food prices. But even accounting for these factors, inflation momentum appears weak, and we struggle to see a hike this year. The drop in energy prices in recent months should also limit concerns about inflation remaining persistent and generating second-round effects.

On the plus side, the large current account surplus and relatively cheap valuations are likely to prevent excessive currency weakness. However, the continued recycling of the current account surplus into financial assets – mainly overseas equities (*Fig. 7*) – remains a drag, even as FX hedging ratios have risen a little more among Swedish institutions than their international peers.

Source: Bloomberg, Nomura

Fig. 8: NOK: Expecting a Norges Bank rate hike and a potential reversal to FX purchases

We forecast EUR/NOK rising to 11.5 by end- 2026 and see NOK/SEK trading at 0.97 over the same period.

NOK has been one of the few currencies to outperform USD year-to-date, though this has been undermined as oil prices have fallen, alongside progress towards a US-Iran deal. Oil prices will likely remain highly correlated with NOK, but we would expect two other factors to play major roles from here.

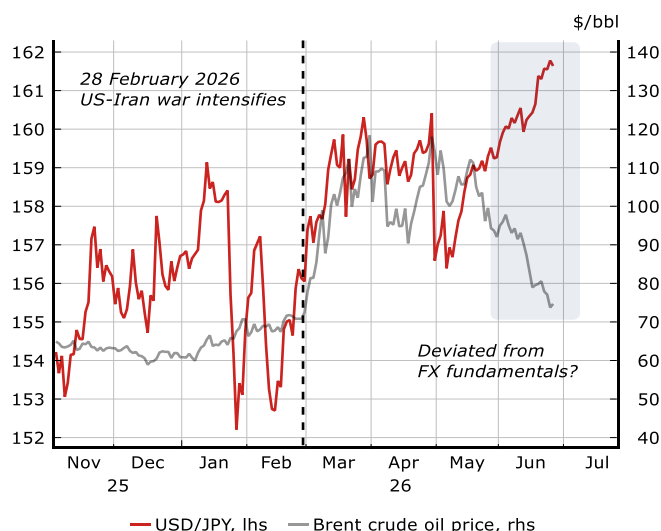
1) Norges Bank FX activity: FX sales by the central bank on behalf of the government have slowed already year-to-date (*Fig. 8*). They could even start to buy FX again in H2 if NOK tax receipts from oil activity rise sufficiently to offset domestic spending. These recycling flows could undermine NOK later this year.

2) Norges Bank rate hikes: The central bank has signalled a hike in the months ahead, and although this is now priced in for the months ahead, it may still leave carry differentials firmly in NOK's favour.

Source: Bloomberg, Nomura

DM Asia (JPY, AUD, NZD)

Fig. 9: JPY: Near-term risk of further upside in USD/JPY, but a medium-term peak may be approaching for the pair



We forecast USD/JPY at 154.0 by end-2026 and 145.0 by end-2027.

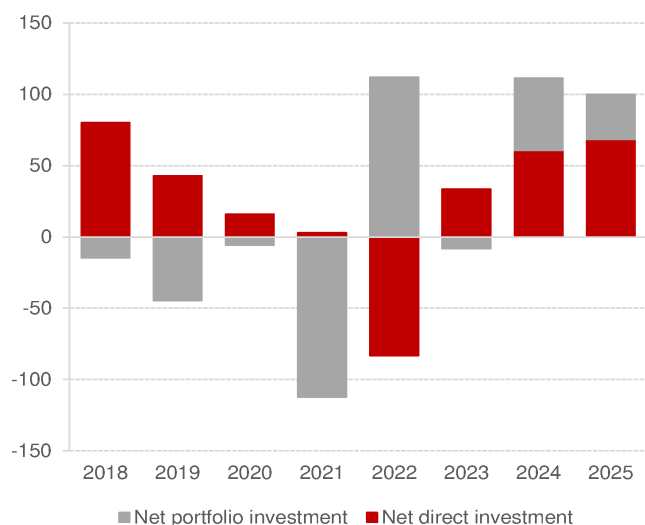
The BOJ's 25bp hike in June was unable to limit JPY depreciation and the government's stance on the BOJ likely reduces its scope for aggressive rate hikes in the immediate term. With the 2y1y rate currently above 2%, it will be difficult for the BOJ to out-hawk the market.

Looking further ahead, however, we see the balance of risks shifting in favour of a lower USD/JPY. Our USD weakness view aside, the MOF still has reasonable firepower for intervention, and its impact could be larger than a few months ago, owing to stretched net JPY short positions. The MOF could judge that USD/JPY going higher despite lower oil prices signals that the currency is "not reflecting fundamentals". Moreover, the risk of the BOJ becoming more hawkish is growing, as *our Japan economics team flags*, because it has become more concerned about upside inflation risks.

Source: Bloomberg, Nomura

Fig. 10: AUD: Terms of trade and capital flow dynamics should support AUD in the medium term

AUDbn



We see AUD/USD rising to 0.73 by end-2026.

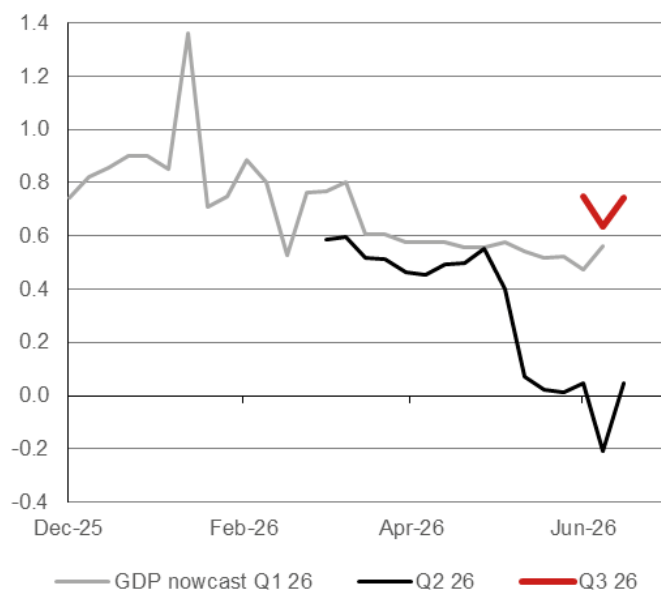
From a medium-term perspective, we see the balance of forces tilting towards a higher AUD later in the year. The terms of trade have risen a little over recent quarters, and net portfolio capital flows, particularly into AUD bonds, remain very strong. Australia's fundamentals, including low government debt levels, remain sound, and we think AUD could be a winner, should any "de-dollarisation" theme re-emerge, though there have been *few signs of Australian super funds changing their FX hedging ratios* in the last year or so.

Our RBA view is not a big driver of our current AUD/USD thinking. Markets are pricing some risk of near-term rate hikes in both Australia and the US, but we do not envisage further policy tightening from either central bank this year. AUD remains highly correlated with broad risk sentiment, as proxied by equity indices, credit spreads and commodity prices, so swings in global risk sentiment remain an "X-factor" for AUD.

Source: ABS, Nomura

Fig. 11: NZD: Under-owned currency/assets and with a rate hike cycle set to start suggests upside for NZD

RBNZ Kiwi-GDP nowcast, % q-o-q



We see NZD/USD rising to 0.60 by end-2026, and see AUD/NZD at 1.20 over the same horizon.

The NZ economy was finally emerging from recession over late 2025/early 2026 before the Middle East crisis hit its terms of trade, owing to its heavy dependence on imported fuel. Higher fuel prices also caused an inflation scare, and the RBNZ, with a singular inflation remit, appears close to starting a hiking cycle.

We see several specific supports for NZD over the rest of the year: i) current rate spreads and the RBNZ starting a rate hike cycle; ii) short investor positioning; and iii) low but rising foreign holdings of NZGBs.

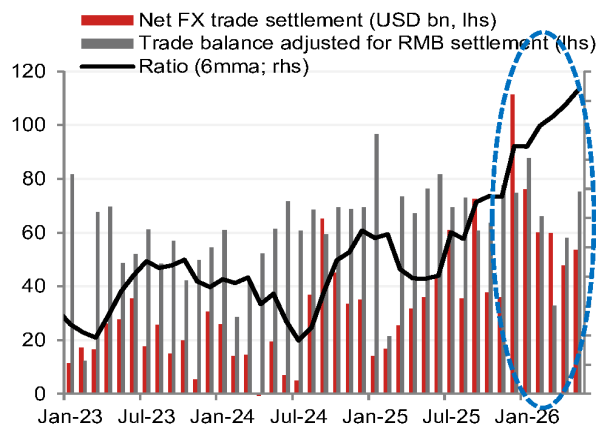
While the market path for hikes is slightly faster than our own projections, the narrowing of the carry differential may help NZD in the months ahead. Survey data have perhaps held up better than expected, and the RBNZ's latest Kiwi-GDP Nowcast suggests a solid bounce in GDP in Q3. We also see scope for the recent trend of rising foreign ownership of NZGBs to continue. Relative positioning, plus the theme of approaching central bank rate convergence should push AUD/NZD lower.

Source: RBNZ, Nomura

AeJ FX: Our medium-term view

We favour outperformance in CNH, TWD and SGD, versus underperformance in KRW, IDR and INR through 2026.

Fig. 12: CNH: Strong onshore corporate FX repatriation and stable US-China relation supports CNH outperformance



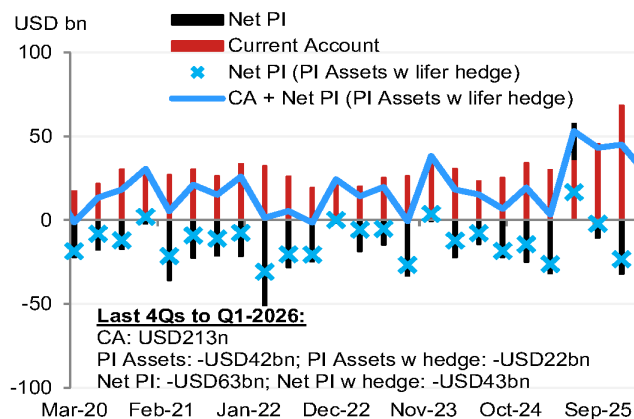
We forecast USD/CNH at 6.50 by end-2026, owing to FX policy, robust trade settlement and structural drivers of internationalisation and undervaluation.

An important driver of CNH outperformance since November 2025 has been Chinese corporates' **strong net FX trade settlement**, supported by China's resilient external sector and the stabilisation of US-China relations. We expect **Chinese corporates' FX selling to stay robust in the coming months**, with our economics team forecasting 2026 China export growth of 8.6% y-o-y and a full-year trade surplus of USD1.161bn (Q1: USD247bn). Our economics team also expects **no policy rate or RRR cuts** in 2026.

Meanwhile, the **USD/CNY fixing has also been drifting lower** with rather stable positive fixing errors (i.e., actual fix minus projection). We believe the Chinese authorities may still be comfortable with a gradual pace of RMB appreciation despite some restraints in daily fixing. On BoP dynamics, **stable US-China relations** and the authorities' **RMB internalization** push should continue to create a conducive environment for China's capital inflows amid substantial **RMB undervaluation**.

Source: Bloomberg, CEIC, Nomura.

Fig. 13: TWD: Global AI demand and capex support robust local fundamentals and capital inflows

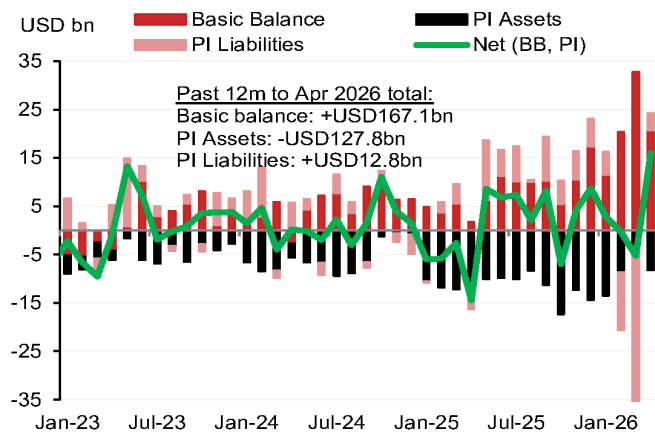


We forecast USD/TWD at 30.8 by end-2026.

Taiwan should continue to benefit significantly from **strong global AI demand** and capex. The sustained AI boom and TSMC's strong capex (~USD70bn in 2027) and **local sourcing plan** will be a positive catalyst for Taiwan's domestic semi supply chain. Export growth continues to exceed expectations, and our economist forecasts a **current account surplus** of USD220bn (21.3% of GDP) and above-consensus GDP growth of 9.9% in 2026, along with **two 12.5bp CBC rate hikes** this year. Besides **current account inflows**, we also expect **foreign equity inflows** to be broadly supportive for TWD.

We believe that a softer USD environment (if it materializes) may encourage some Taiwan life insurers and exporters to consider **increasing their FX hedging ratios (tactically) and reducing their USD hoarding**, especially if USD/TWD swap points are trading at a premium. Separately, **potential scrutiny from the US Treasury** on central bank's currency practices may limit the CBC's USD buying inclination.

Source: Bloomberg, CEIC, Nomura.

Fig. 14: KRW: Some positive shifts in external and local factors, but there are still reasons to be cautious

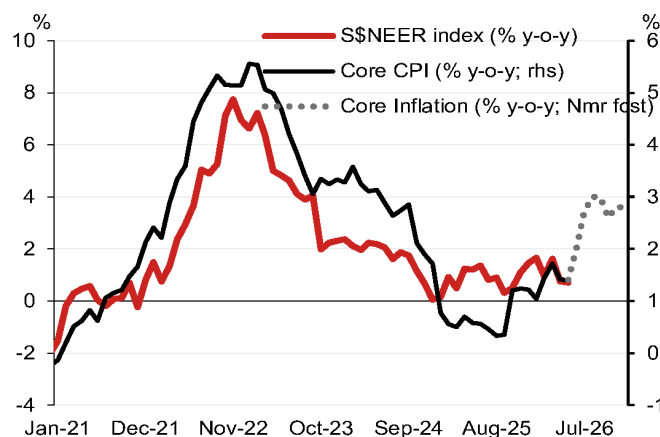
We forecast USD/KRW at 1,495 by end-2026.

Some positivity arose from the US-Iran interim deal and capital flow dynamics, including the *NPS's revision* to its 2026 asset allocation targets and a potential *increase* in Korean corporate remittances.

However, there are some reasons to remain cautious, including: 1) a **lack of clarity over whether the recent near-zero Korean retail allocation into US equities is a temporary pause**. The US remains the anchor of the global AI theme, and Korean retail investors are starting to shift back to being *small net buyers* of US portfolio assets after the temporary pause in April and May; 2) **the change in NPS's asset allocation targets may not be sufficient to completely stop its overseas allocations**, especially if NPS's AUM continue to grow, even if led only by gains in its domestic equities allocation; 3) our analysis showing a **risk of large foreign equity outflows, if major Korean memory firms continue to outperform strongly**, owing to the 10% single-stock cap rule on global funds; and 4) **if the AI-driven equity rally unravelled**, foreign investors may unwind their large holdings of Korean equities.

Overall, an *alignment* of several factors is necessary for KRW to outperform, including a softer USD, increased Korean exporter remittances and a reduction in exuberance (but not risk negativity) over the global AI cycle that may slow Korean retail outflows into the US, which could lead to more favorable Korea's BoP dynamics.

Source: Bloomberg, CEIC, Nomura.

Fig. 15: SGD: We expect the MAS to allow a faster pace of S\$NEER appreciation to guard against inflation risks

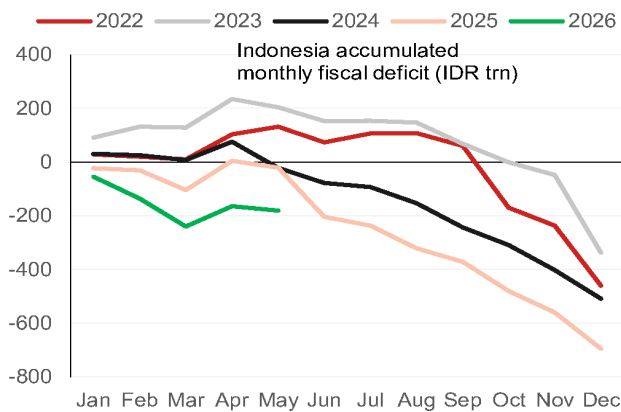
We forecast USD/SGD at 1.255 by end-2026, supported by the MAS's policy to keep S\$NEER on an appreciation trajectory.

Singapore is enjoying **strong economic momentum**, with the output gap likely to remain positive. The *US-Iran interim deal* also reduces the risk of an unexpected tightening of global/US financial conditions and removes a headwind for the economy. We expect **Singapore's output gap to remain positive**, supported by the global tech uptrend, strong domestic construction activity, the FY26 budget and resilient domestic demand.

Simmering inflationary pressures are a concern. Amid *steady labour market conditions* and the positive output gap, there is an increased risk of second-round inflation effects from the recent spike in energy prices.

Therefore, we expect another **slight S\$NEER slope increase by the MAS**, which will keep SGD supported. The de-escalation of US-Iran tensions, orderly global financial conditions and a robust local macro backdrop are likely to keep the MAS on a tightening path, providing support to SGD.

Source: Bloomberg, CEIC, Nomura.

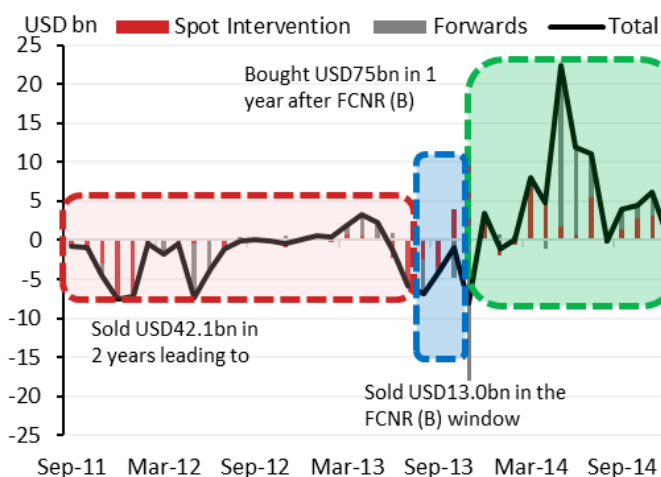
Fig. 16: IDR: Underperformance from local policy concerns, fiscal and credit rating risks, and erosion of BI credibility

We forecast USD/IDR at 17,800 by end-2026, with IDR being one of the key underperformers within AeJ.

Market **concerns over government policies** continue to simmer and remain unaddressed, including: (a) the chorus of concerns over President Prabowo's **plan to centralise exports of natural resources** and tighter export proceed rules for natural resources; (b) Indonesia's **fiscal outlook remains under pressure** from local populist spending, with an increasing risk of **below-the-line spending** to keep within the 3% of GDP fiscal deficit ceiling; and (c) the **passage** of the finance sector law revision, which **complicates BI policy making** and undermines perceptions of BI's independence.

BI's **low FX reserve adequacy ratio**, especially after accounting for pre-determined short-term drainage, also suggests that limited capacity to intervene sustainably in the FX market. This is compounded by **BI's mixed signaling**, which blunts the positive impact of its recent policy hikes on IDR.

Source: Bloomberg, CEIC, Nomura.

Fig. 17: INR: The FCNR(B) scheme should attract FC deposit inflows in the near term, but may also lead to RBI FX accumulation in the longer term

We forecast USD/INR at 93.0 by end-2026, with INR likely to underperform within AeJ owing to the RBI's FX reserves stance.

The RBI's series of measures to stabilise INR since May 2026 culminated in the announcement of the concessional **FX swap facility** for FCNR(B) deposits, which will likely support INR in the near term, because of FC deposit inflows, RBI FX intervention and a sentiment boost. Our economics team also expects the **scheme to attract a sizeable USD55bn of FC deposit inflows**, helping to **swing** India's BoP forecast from a deficit to surplus for FY27. However, we note that is **eventually the RBI's FX selling that could lead to INR stability**, as the banks that accrue these FC deposits will swap them directly with the RBI.

Over the longer term, we believe the RBI **will likely continue to accumulate FX reserves opportunistically**, as it attempts to minimise the impact of maturing short forwards on its headline FX reserves. Drawing on the 2013 FCNR(B) **experience**, after the closure of the FX swap window, the RBI net accumulated a substantial amount of FX reserves as optimism over Modi's election built in 2014. Interestingly, local media (*Business Standard*, 18 June) reported that the RBI bought around USD3-5bn on 17 and 18 June as INR outperformed following the hawkish **June FOMC**.

Source: Bloomberg, CEIC, Nomura.

Appendix A-1

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